

Tanker Shipping

Bi-Weekly Industry Report

June 30, 2026

- VLCC Spot Drops from Crisis Highs, but Volatility Remains** – The Very Large Crude Carrier (VLCC) Arabian Gulf (AG) market experienced extreme volatility during the past week, with spot rates fluctuating sharply due to dynamic geopolitical risks in the Strait of Hormuz. While shipowners continually evaluate risk-versus-reward profiles for regional transits, sentiment is supported by a tangible recovery in Middle Eastern supply, driven by Saudi Arabia resuming loadings at Ras Tanura alongside expanded export programs from ADNOC, Qatar, Iraq, Kuwait, and Iran. Conversely, weakening Chinese demand presents a significant headwind; preliminary data indicates June imports have fallen to approximately 6.4 million barrels per day (bpd), an 8% decline from May's average of 7.82 million bpd and the lowest volume since October 2016. Moving forward, near-term market direction will depend on whether lower crude pricing can stimulate Asian refinery buying, though freight rates, and as a result freight futures, are expected to remain highly volatile and sensitive to headline risks.
- Oil Prices Drop to pre-war Levels as Oversupply becomes the Narrative** – A rapid shift in oil market sentiment from supply anxiety to an oversupply narrative has driven crude prices back to pre-war levels, despite little change in structural reality. While global inventories continue a rapid drawdown and uncertainty persists over the pace of Arabian Gulf (AG) export recovery, a steep decline in Chinese spot market purchasing has put severe downward pressure on global pricing. The primary driver of this deflation is not necessarily the volume of barrels transiting the Hormuz straits (which is admittedly high in such a short period of time), but rather the notable lack of appetite from Chinese refiners to accumulate stockpiles at pre-conflict rates. Whether this pullback represents a structural shift in Chinese demand (economy) or a temporary buying pause remains to be seen; however, the immediate seaborne market is left fundamentally imbalanced with a surplus of prompt spot oil supply.
- Our Long-term View** – The tanker market has been recovering from a long period of staggered rates as the growth in new vessel supply shrunk while oil demand remained elevated in line with the global economy. The recent rapid increase in freight rates has led to significant new vessel ordering, with the orderbook now standing at well above average levels, and although in the near term such a supply/demand misbalance is small, we expect a meaningful negative balance to develop longer term leading to a industry downcycle.

Short-term Indicators

Momentum: **Negative**

Sentiment: **Negative**

Fundamentals: **Positive**

Breakwave Tanker Futures Index: 3711

30D: -25.4% ↓

YTD: 152.6% ↑

YOY: 249.4% ↑

VLCC Middle East-Asia Spot Rates: 59.62

30D: -26.6% ↓

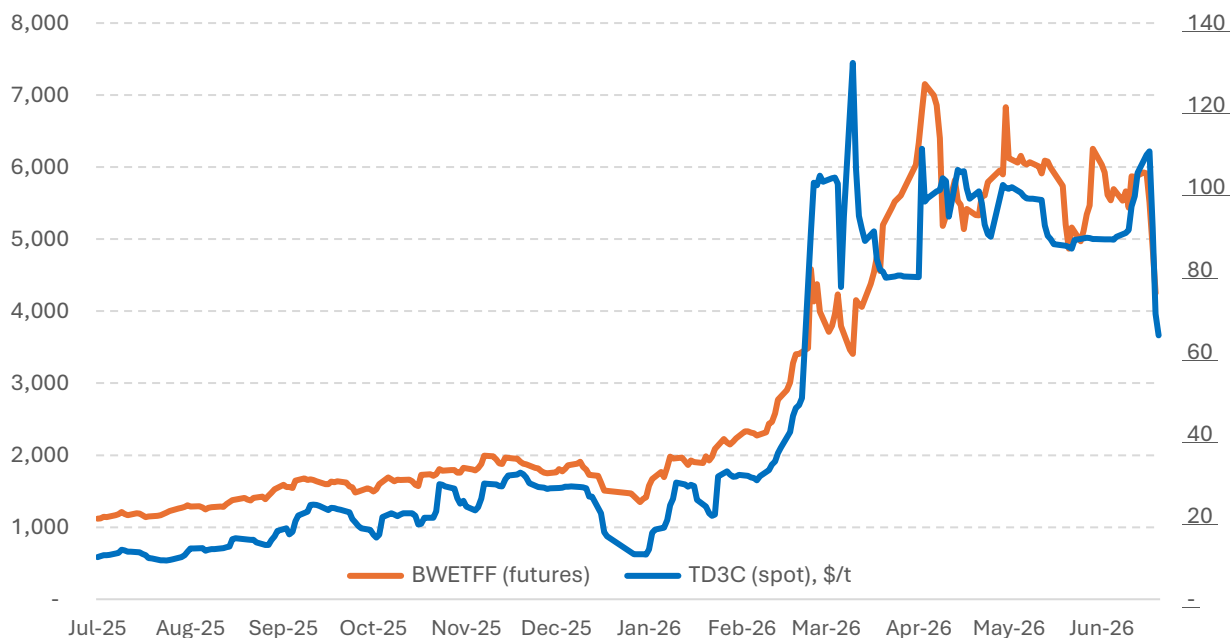
YTD: 318.8% ↑

YOY: 412.1% ↑

Reuters: BWET.K
Bloomberg: BWET US
Exchange: NYSE

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VLCC Spot Index (TD3C) vs Breakwave Tanker Futures Index (BWETFF)



The Baltic TD3C Index measures the spot rate in USD per ton for Very Large Crude Carriers (VLCC) operating in the Middle East to Asia route. The Breakwave Tanker Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 90% VLCC TD3C and 10% Suezmax TD20 and a weighted average maturity of approximately 50-70 days.

Tanker Fundamentals

Demand	YTD	YOY
World Oil Demand	105,745 kbpd	0.3%
Oil Supply, OPEC	16,330 kbpd	-40.9%
Oil Supply, non-OPEC	73,671 kbpd	0.5%
OECD Total Crude Oil Stocks	1053.1 MMbbls	0.0%
US Crude Oil Exports	60.2 MMbbls	-2.0%
China Oil Imports	797.5 MMbbls	1.8%
Global Crude Oil On Water	1307.4 MMbbls	11.7%

Supply

Tanker Fleet	726.7 mdwt	3.7%
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Freight Rates

VLCC Middle East-Asia, USD/ton	65.98	405.5%
Suezmax West Africa-Europe, USD/ton	36.59	123.9%

Note: All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals

Sources: Bloomberg, IEA, Clarksons and Breakwave Advisors

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